

need awareness of how Bitcoin needs a different approach. These changes can be dangerous if not understood well enough and cause serious loss of money to the users.

The number one thing to know about the dangers on Bitcoin is its easy allure to criminal activity. Not only in terms of scams and hacks but also how it is used by criminals to engage in trade that is difficult using normal currency. The recently shut down websites like Silk Road and the Sheep Marketplace were the most highly publicized examples of a digital black market. They attracted criminal activity such as the sale of drugs, weapons, assassinations and other illegal services by taking advantage of the untraceable nature of Bitcoin transactions.

Due to these activities most governments take a very cautious and highly scrutinised look at users of Bitcoin. In case of taxes and other legal money related requirements even the Indian government is investigating Bitcoin to discover how it can facilitate crime. It is very likely that innocent users may also be unwillingly caught up in this investigation and need to be prepared to explain themselves in case they are caught up in related issues.

Another key danger is the risk of losing your Bitcoin's whether by accident or theft. Since there is no central authority and near anonymity in usage there is negligible chance of recovering lost Bitcoins. Unlike traditional banks, when you lose your credit or debit card, it is possible to block them and protect your account, but in case of Bitcoins once it is lost there is no recovery possible. Hundreds of people have lost thousands of Bitcoins, which is millions of dollars worth of losses simply due to accidents. And although insurance provides such as Lloyds of London have recently started providing protection for Bitcoin loss it is still an extra cost which bears down on users who are careless and not adequately prepared.

Many people would like to take advantage of the Bitcoin buzz and buy them as an investment. But as time has gone on since Bitcoin's creation, it is no longer convenient for newcomers to buy Bitcoins as it was before. Even though there are valid Bitcoin exchanges active in India and abroad, they require credit cards or online bank transfers to be used. Although it is still possible to purchase Bitcoins from individuals, India currently is in a freeze where the only way to purchase Bitcoins is directly through a trusted first hand source. Once the Indian online exchanges are active people with online banking with select banks will be able to buy Bitcoins again if the government allows.